Financial calculations and business model

Saryarqa Go. All amounts in KZT.

1. Business model

The traveler pays Saryarqa Routes for the tour, the same way local customers do now. Saryarqa Go itself is not sold to anyone. It is the new sales channel that lets foreign travelers find, understand and pay for the tours.

In our calculation we count only one source of income: the margin on additional foreign travelers. The average price is 44,000 KZT (case data). We assume that 30% of it is left after paying guides, transport, accommodation and payment fees, so 13,200 KZT per traveler (our assumption). We do not count three other possible sources, so the result is on the careful side:

- optional extras sold on the tour page, like horse riding, boats or a single room;
- longer trips, because the trip builder makes it easy to combine two or three tours;
- new travelers who come through postcard links, which cost almost nothing to get.

Note: 150,000,000 / 3,400 = 44,118 KZT, which is a little higher than the 44,000 KZT average price given in the case. We use 44,000 KZT.

2. Budget

Part	Item	When	KZT
Development	Design and development	one-time	8,000,000
Development	Translation and localization (English, Chinese)	one-time	1,500,000
Development	Payment integration and testing	one-time	1,500,000
Development	Guide videos and photos	one-time	1,000,000
Launch	Marketing (Xiaohongshu, WeChat, partners)	year 1	4,500,000
Launch	Pilot and customer support	year 1	1,000,000
Maintenance	Hosting, AI usage, maintenance	year 1	1,500,000
Reserve	Contingency	year 1	1,000,000
Total year 1 (the case allows up to 20,000,000)			**20,000,000**

From year 2 we expect running costs of 300,000 KZT per month, or 3,600,000 KZT per year, for hosting, support and keeping the content up to date. All budget numbers are our planning

estimates and should be checked with real quotes.

3. How many travelers we expect

To reach 30% foreign travelers the company needs about 1,263 additional foreign travelers per year (see section 3 of the main report). We launch in month 4 and expect the number to grow step by step until it reaches the full level in month 24 (in month m we get (m - 3) / 21 of the full level). After that we keep it flat, which is also a careful choice.

4. Payback

Each month we calculate: additional travelers x 13,200 KZT, minus costs. The 12 million one-time costs are spread over months 1-3, the other 8 million over months 1-12, and from month 13 the cost is 300,000 KZT per month. The payback month is the first month when the total since the start is no longer negative. For the pessimistic (downside) scenario we use 30% fewer travelers and keep everything else the same.

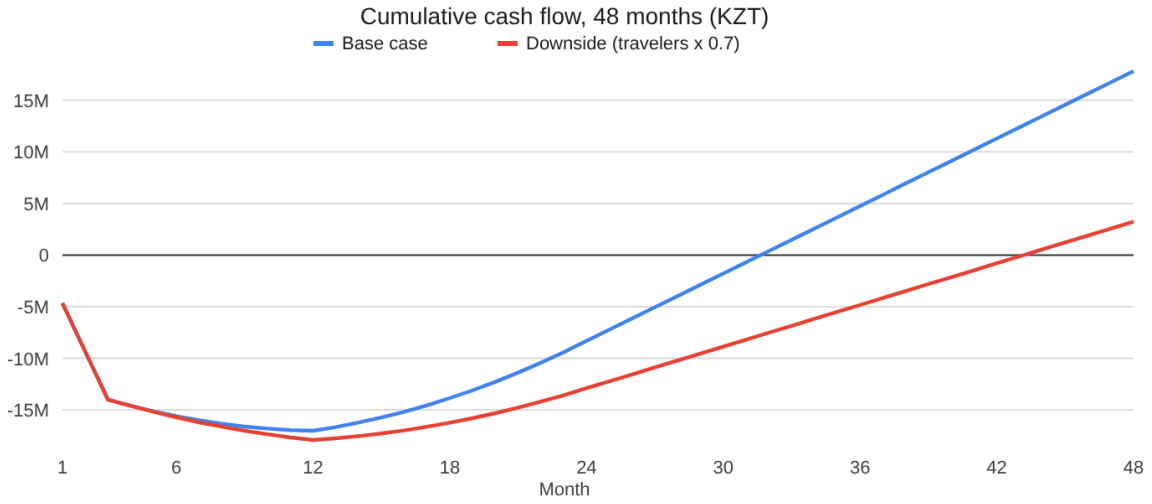


Figure 1. Cumulative cash flow for the base case and the downside case.

Year	Additional travelers	Margin earned	Costs	Result of the year	Total so far (base)	Total so far (downside)
1	226	3.0M	20.0M	-17.0M	-17.0M	-17.9M
2	932	12.3M	3.6M	8.7M	-8.3M	-12.9M
3	1,263	16.7M	3.6M	13.1M	4.8M	-4.8M
4	1,263	16.7M	3.6M	13.1M	17.8M	3.2M

Result	Base case	Downside (x 0.7)
Lowest point (month 12)	-17.0M	-17.9M
Total after 24 months	-8.3M	-12.9M
Payback month	**32**	**44**
Total after 48 months	17.8M	3.2M
Travelers needed to earn back 20M (20,000,000 / 13,200)	1,516	1,516

What if our margin is wrong?

The 30% margin is our biggest assumption, so we checked how the payback changes:

Margin	20%	25%	30%	35%	40%
Payback, base case	month 46	month 37	month 32	month 29	month 27
Payback, downside	after 48	after 48	month 44	month 38	month 34

In the base case the project pays back within four years even with a 20% margin. In the downside case it needs a margin of about 30% or more. So the first thing we would check with the company is its real cost per traveler. If the pilot shows lower demand, we would move more of the marketing to free channels (postcards and our own Xiaohongshu posts), delay paid ads, and keep running costs at 300,000 KZT per month.